



you have fixed expenditures like a house mortgage instruct your bankers to make the necessary payments every month. This will free you from having to decide whether to repay the loan or spend the money on something else.

**Change your frame of reference.** Approach decisions from a neutral state. Here's how to do it. You hold shares of Tata Steel and your friend recommends that you sell it and buy Jindal Iron and Steel instead. You cannot decide what to do. The best way is to imagine that you do not have any stock of Tata Steel but that you have cash that you can invest. You then decide between Tata Steel and Jindal. If your choice is Tata Steel then don't convert. If the choice is Jindal, go ahead and make the switch. This sounds simple and it is. The difficult part is recognising that your decision is being hampered by your approach to the problem.

**Don't get married to your stocks.** Investments are made to create income and wealth. Your goal is to go from one comfort level to another and for that you need different investment vehicles to meet your different requirements. Once they have fulfilled their task and helped you reach your goal you have to let go. You do not stay with them forever.

**Understand that there is no free lunch.** When you get to take home goods on trial, when you get invited for company visits, analysts' meets, or sales promotion parties, please treat them with scepticism. Don't allow yourself to feel good about such offers. Always look for the catch. Be detached and don't allow your emotions to control your decision-making.

**Learn to apply the Dale Carnegie Principle on worry.** When we have to take decisions we worry about the consequences. Before running away, ask yourself what is the worst that can happen if you take the decision. Analyse the facts and the situation; it may not be as bad as you think. Be prepared for the worst, then go ahead and take the decision.

Now that you know how emotions affect decision-making and what you should do to control your emotions, consider what would happen if you cheat yourself by avoiding reality. The next chapter deals with accountability when it comes to money.